

August 2019

# Category review: Chips

Retail Analytics | Strategic  
recommendation for the FY20 chip  
category plan



Classification: Confidential



# Our 17 year history assures best practice in privacy, security and the ethical use of data

## Privacy

- We have built our business based on privacy by design principles for the past 17 years
- Quantum has strict protocols around the receipt and storage of personal information
- All information is de-identified using an irreversible tokenisation process with no ability to re-identify individuals.

## Security

- We are ISO27001 certified - internationally recognised for our ability to uphold best practice standards across information security
- We use 'bank grade' security to store and process our data
- Comply with 200+ security requirements from NAB, Woolworths and other data partners
- All partner data is held in separate restricted environments
- All access to partner data is limited to essential staff only
- Security environment and processes regularly audited by our data partners.

## Ethical use of data

Applies to all facets of our work, from the initiatives we take on, the information we use and how our solutions impact individuals, organisations and society.

We all have a responsibility to use data for good

Quantum believes in using data for progress, with great care and responsibility. As such please respect the commercial in confidence nature of this document.

# Executive summary

**Target Mainstream Young Singles/Couples and roll out the new store layout — both are proven, data-backed growth levers for the FY20 chip plan.**

1

## **A large, high-value segment**

Mainstream Young Singles/Couples is our single biggest customer base (11% of all customers) and pays a statistically-proven 9.1% more per packet than Budget/Premium peers ( $p < 0.0001$ ).

2

## **The trial worked**

2 of 3 trial stores (77 and 88) show a significant uplift in both sales and customer numbers during the trial period — a clean, repeatable result.

3

## **Clear next steps**

Prioritise Tyrrells, Doritos, Kettle and Twisties in range and promotion for this segment, roll out the layout more broadly, and clarify store 86's pricing/promo activity before generalising.

# Agenda

01

## Category insights

Who buys chips, what drives sales, and where the growth opportunity is

---

02

## Trial store performance

Did the new layout work? Store-by-store results

---

03

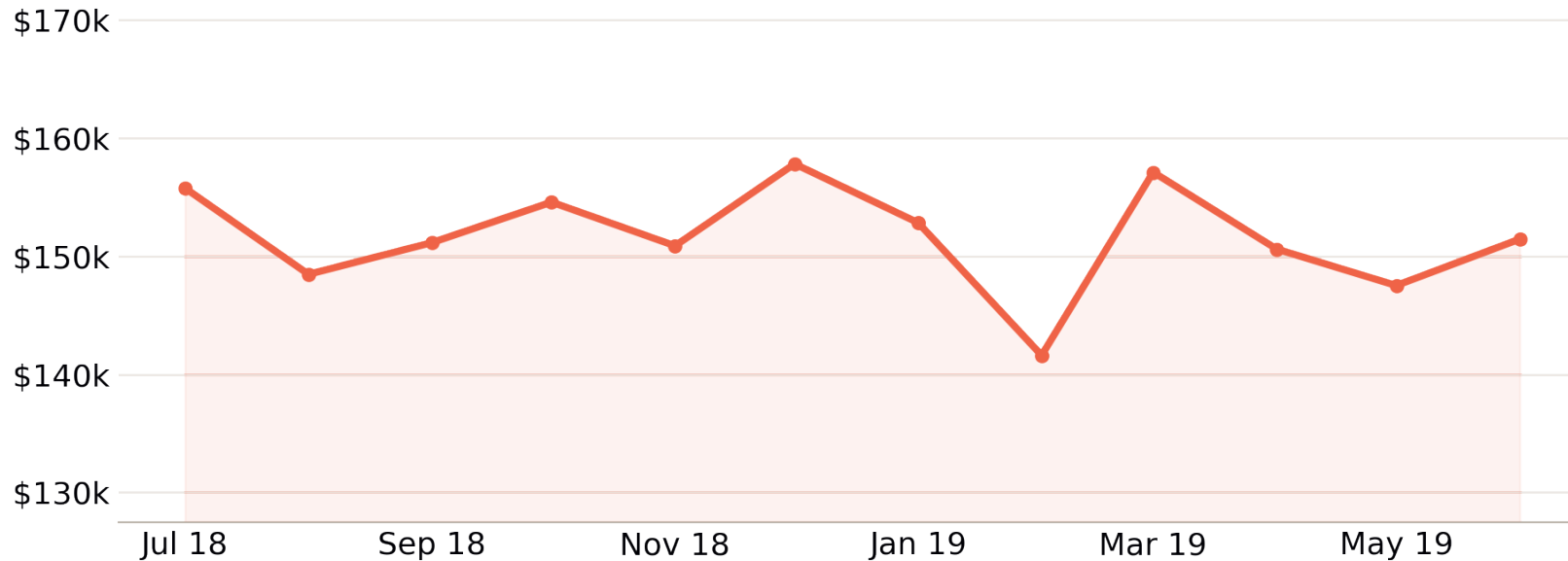
## Recommendations & next steps

What we suggest doing about it

# 01

## Category insights

# A stable, year-round category

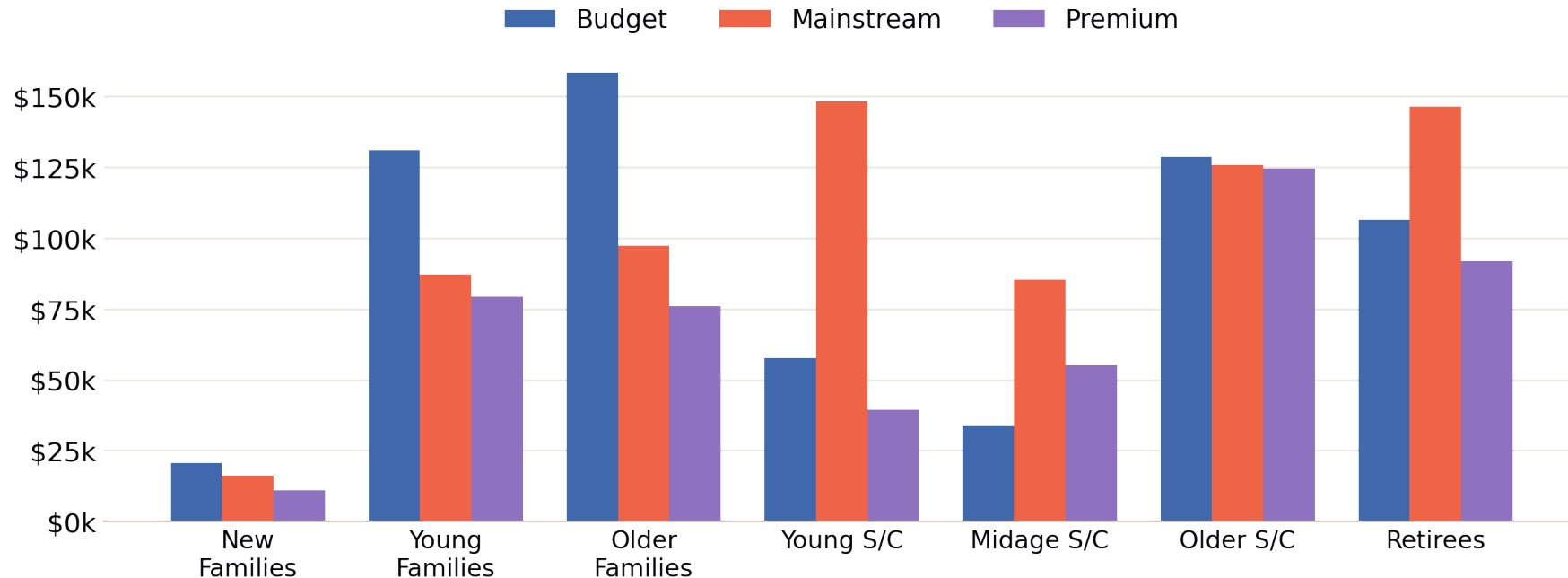


**\$1.82M**

Total chip sales, Jul 2018 – Jun 2019

Monthly sales are steady all year (no seasonal decline), with one clear spike in the week before Christmas. Chips are a reliable, dependable category — the opportunity here is about which customers to grow, not fixing a declining trend.

# Two different stories explain who drives sales



## VOLUME

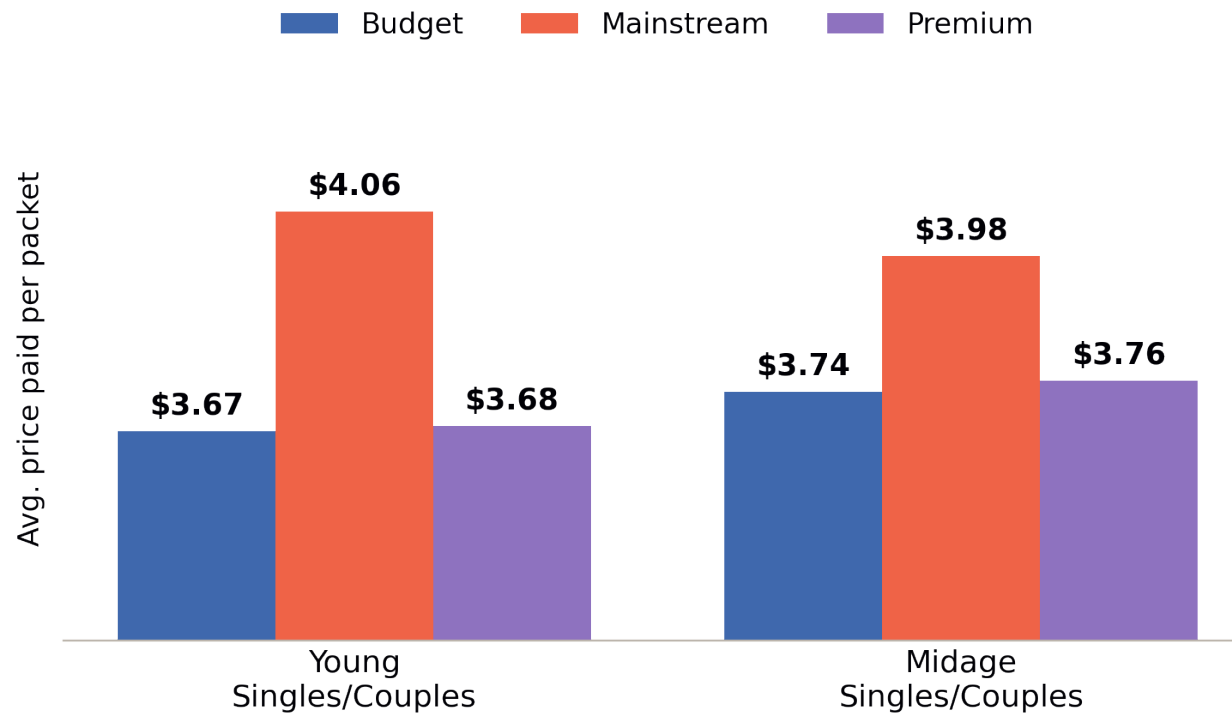
Families (any tier) buy 8.7–9.3 packets per customer, every trip — the highest of any lifestage. This is what drives Budget - Older Families to the top of the sales chart.

## REACH

Mainstream Young Singles/Couples and Retirees buy far fewer packets each, but there are simply more of these customers than any other segment — the largest customer base in the category.



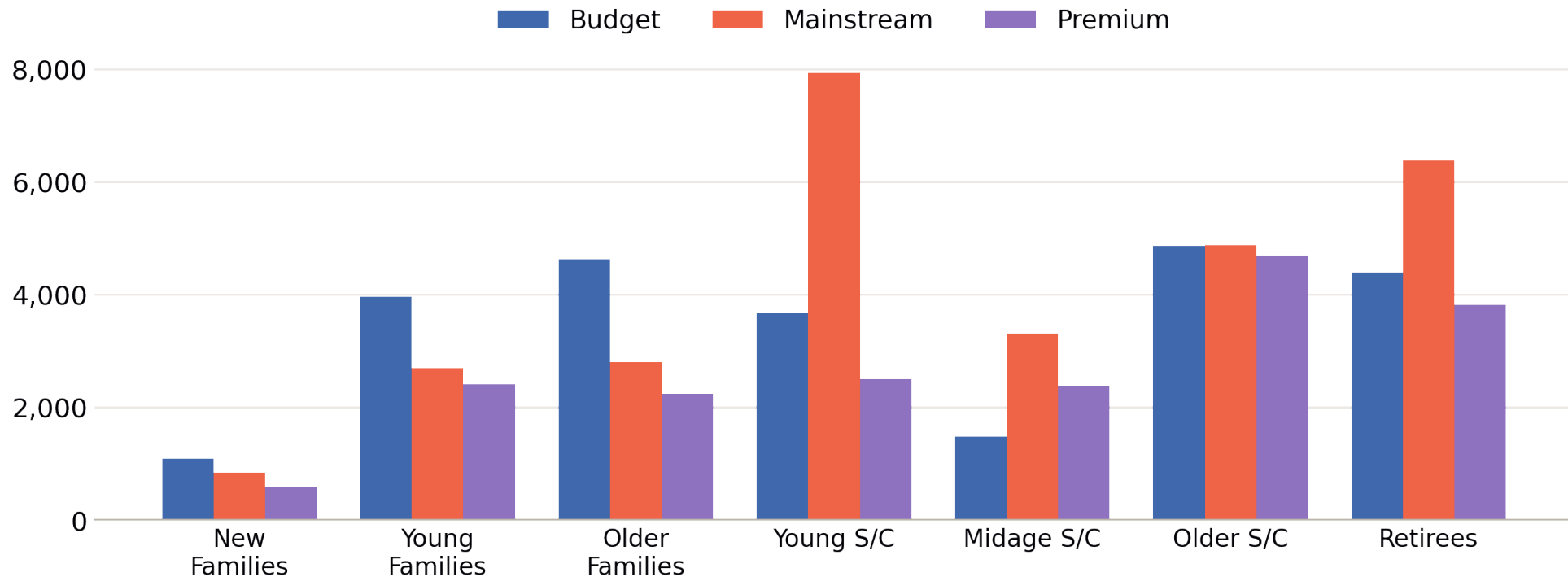
# Mainstream shoppers pay more for the same category



**+9.1%**

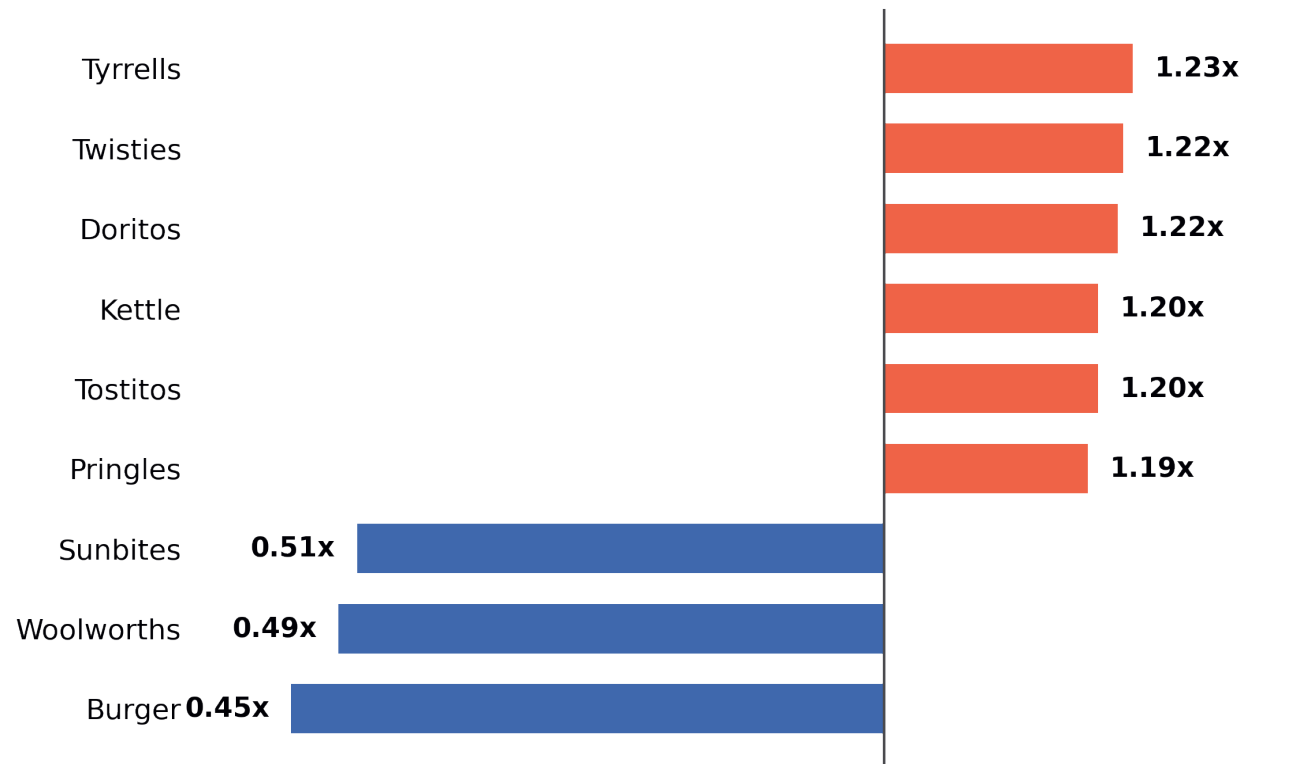
More paid per packet by Mainstream vs. Budget/Premium Young & Midage Singles/Couples  
( $t = 38.1, p < 0.0001$ )  
This premium is specific to Young and Midage Singles/Couples — it does not hold for Mainstream Retirees, who pay about the same as their Budget/Premium peers. The willingness to pay more is a targeted, not a blanket, opportunity.

# Young Singles/Couples & Retirees are our largest customer base



Mainstream Young Singles/Couples (7,930 customers) and Mainstream Retirees (6,382) are, by a clear margin, the two largest customer segments buying chips today — the foundation of the “reach” opportunity.

# The target segment has clear, actionable brand preferences



**1.2x+**

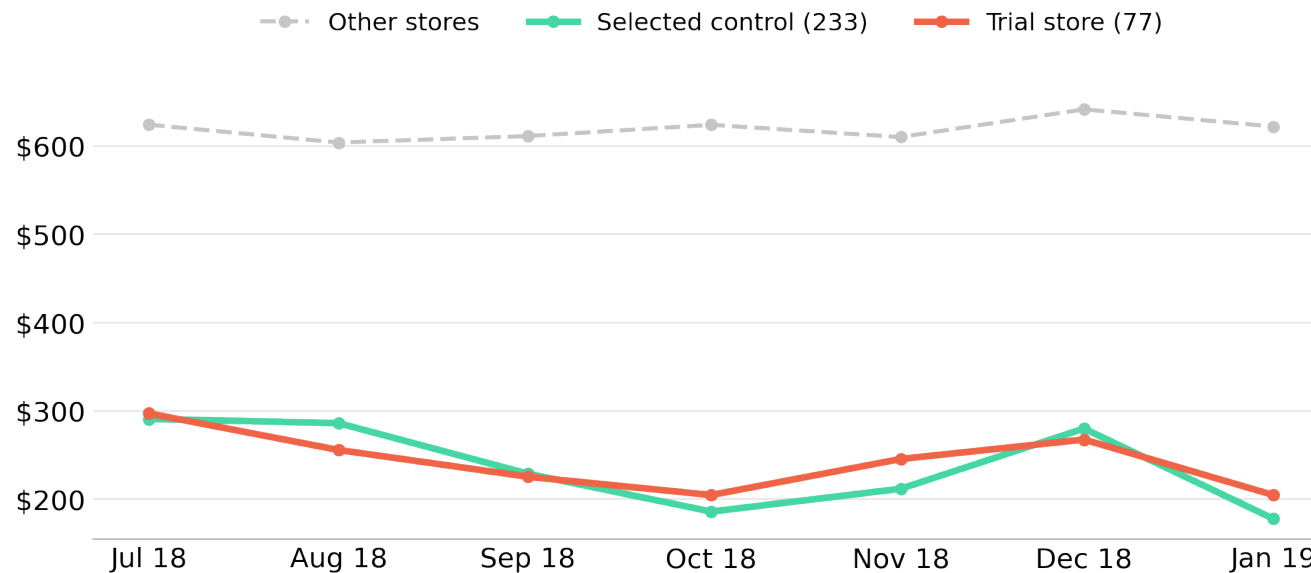
Over-indexing on Tyrrells, Twisties, Doritos, Kettle, Tostitos & Pringles

Mainstream Young Singles/Couples buy recognised, mainstream snack brands well above their share — and under-buy home-brand and lower-profile options (Woolworths, Burger Rings, Sunbites). Range and promotion should lean into the six brands on the left.

# 02

## Trial store performance

# Matching each trial store to a lookalike control



233 • 155 •

Control stores selected for trial stores 77, 86 and 88

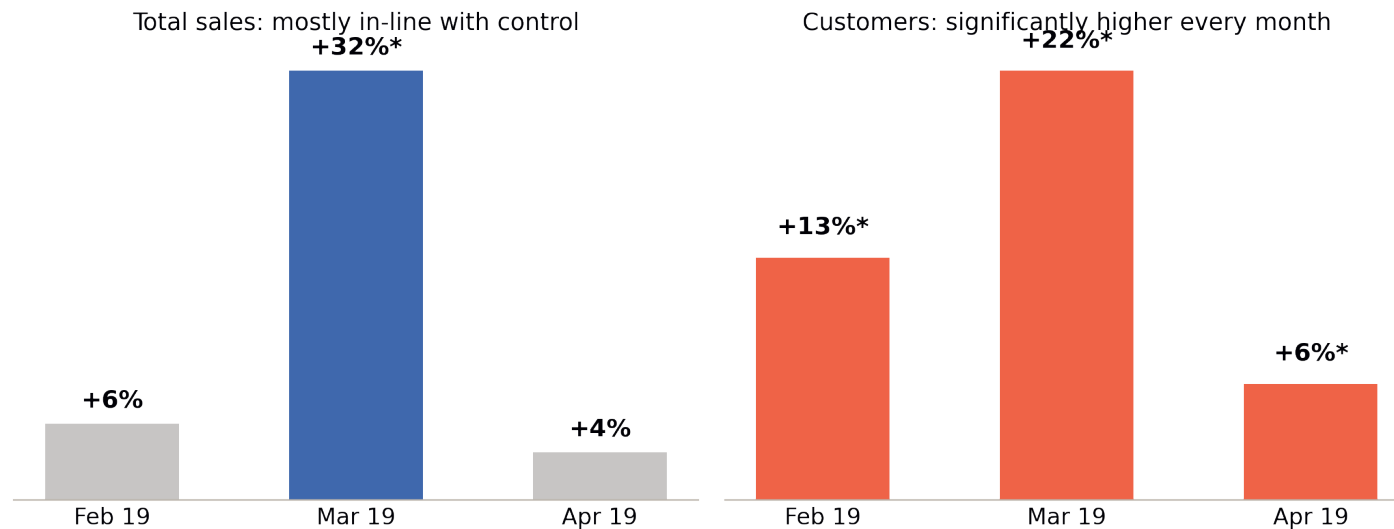
For each trial store, we scored every other full-year store on how closely its pre-trial monthly sales and customer counts tracked the trial store (correlation + magnitude similarity). The closest match becomes the control — store 233 for trial store 77, shown here.

## 2 of 3 trial stores show a significant uplift

| Trial store | Control store | Sales                              | Customers                     | Verdict             |
|-------------|---------------|------------------------------------|-------------------------------|---------------------|
| 77          | 233           | Significant<br>(Mar, Apr)          | Significant<br>(Mar, Apr)     | Positive            |
| 86          | 155           | Not significant<br>(1 of 3 months) | Significant<br>(all 3 months) | Mixed — investigate |
| 88          | 237           | Significant<br>(Mar, Apr)          | Significant<br>(Mar, Apr)     | Positive            |

Stores 77 and 88 show a clean, statistically significant uplift in both sales and customer numbers. Store 86 saw significantly more customers every month, but that didn't reliably convert into more revenue — worth a conversation with the Category Manager before generalising the result.

# Store 86: more customers, but not more revenue



Was a different promotion or price point running in store 86?

Customer visits rose significantly every single trial month — the layout is clearly pulling more people in. But sales didn't rise by nearly as much, which usually points to a lower average basket value. Before treating this as a weaker result, it's worth checking whether a discount or different offer ran alongside the layout change in this store.

# Recommendations & next steps

1

## **Target Mainstream Young Singles/Couples**

Our largest, highest-value customer base — lead category strategy with this segment front of mind.

2

## **Prioritise Tyrrells, Doritos, Kettle, Twisties, Tostitos & Pringles**

Shift range and promotional space toward the brands this segment already over-indexes on.

3

## **Roll out the new layout more broadly**

Stores 77 and 88 show a clean, significant uplift in sales and customers — the core hypothesis is well supported.

4

## **Clarify store 86 with the Category Manager before rolling out further**

Confirm whether pricing/promo differences explain the customer-vs-sales gap, so the rollout plan reflects the true effect.



Disclaimer: This document comprises, and is the subject of intellectual property (including copyright) and confidentiality rights of one or multiple owners, including The Quantium Group Pty Limited and its affiliates (Quantium) and where applicable, its third-party data owners (Data Providers), together (IP Owners). The information contained in this document may have been prepared using raw data owned by the Data Providers. The Data Providers have not been involved in the analysis of the raw data, the preparation of, or the information contained in the document. The IP Owners do not make any representation (express or implied), nor give any guarantee or warranty in relation to the accuracy, completeness or appropriateness of the raw data, nor the analysis contained in this document. None of the IP Owners will have any liability for any use or disclosure by the recipient of any information contained in, or derived from this document. To the maximum extent permitted by law, the IP Owners expressly disclaim, take no responsibility for and have no liability for the preparation, contents, accuracy or completeness of this document, nor the analysis on which it is based. This document is provided in confidence, may only be used for the purpose provided, and may not be copied, reproduced, distributed, disclosed or made available to a third party in any way except strictly in accordance with the applicable written terms and conditions between you and Quantium, or otherwise with Quantium's prior written permission